

Citizen Investment Trust Act, 1991

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Chapter - 1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Citizen Investment Fund Act, 2047".
- (2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-
 - (a) "Fund" means the Citizen Investment Fund established pursuant to Section 3.
 - (b) "General Meeting" means the general meeting of shareholders called pursuant to Section 21.
 - (c) "Board" means the Board of Directors of the Fund formed pursuant to Section 25.
 - (d) "Chairperson" means the Chairperson of the Board.
 - (e) "Director" means a member of the Board and includes the Chairperson of the Board.
 - (f) "Executive Director" means the Executive Director of the Fund appointed pursuant to Section 42.
 - (g) "Share" means the divided portion of the share capital of the Fund.
 - (h) "Shareholder" means a person having ownership in the shares of the Fund.
 - (i) "Share Certificate" means the certificate provided by the Fund to a shareholder for the purchase of shares.
 - (j) "Loan" means a debt provided by the Fund upon taking any movable or immovable property as collateral or mortgage or other necessary security or guarantee, on terms determined by the Fund.
 - (k) "Debenture" means a debt instrument issued by the Fund, with or without being secured against the assets of the Fund.
 - (l) "Government Bond" means a bond issued by the Government of Nepal under the National Debt Act, 2077.
 - (m) "Security" means shares, stock, cash, debentures, debenture stock, and bonds issued by the Government of Nepal, and includes receipts relating to the deposit of securities and documents of rights and entitlements relating to securities.
 - (n) "Investment" means an investment made in shares or debentures and other securities of an incorporated body.
 - (o) "Investment Account Scheme" means the Investment Account Scheme operated by the Fund pursuant to Section 15.
 - (p) amended by the First Amendment. "Citizen Unit Scheme" means the Citizen Unit Scheme operated by the Fund pursuant to Section 16, and includes the capital fund collected and accumulated from general savers and investors and the scheme managing such capital fund.

- (q) "Unit" means a unit issued to raise capital under the Citizen Unit Scheme.
- (r) "Unit Holder" means a person or incorporated body having ownership in a unit of the Fund.
- (s) "Unit Certificate" means the certificate provided by the Fund to a unit holder for investing money in the Citizen Unit Scheme.
- (t) "Technical Sub-Committee" means the Technical Sub-Committee of experts formed pursuant to Section 43.
- (u) "Incorporated Body" means a bank, public company, industry, or similar government or non-government institution established as an incorporated body pursuant to the prevailing law.
- (v) inserted by the First Amendment. (v1) "Trustee" means the Board, sub-committee, or member of such Board or sub-committee, or an authorized officer of the Fund designated by the Fund pursuant to Section 43(K) for managing the investment of the capital fund collected and accumulated from savers and investors under this Act, according to the terms of the respective scheme, or for fulfilling obligations under an agreement entered into with any other incorporated body in that regard.
- (w) "Prescribed" or "as prescribed" means prescribed or as prescribed in the regulations made under this Act.

Chapter - 2

Establishment, Capital and Management

3. Establishment of the Fund: (1) A Fund shall be established under the name "Citizen Investment Fund".

(2) The Fund shall be an autonomous and incorporated body with perpetual succession.

(3) The Fund shall have its own separate seal for its business.

(4) The Fund may, subject to this Act, acquire, use, hold, amended by the Second Amendment. lease out, sell, dispose of, and otherwise manage movable and immovable property.

(5) The Fund may sue and be sued in its own name.

(6) The central office of the Fund shall be in Kathmandu, and the Fund may open branches and appoint agents or representatives inside or outside Nepal omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.. 4. Capital and Share Allocation of the Fund: (1) The authorized capital of the Fund shall be eight billion rupees, which shall be divided into eighty million shares of one hundred rupees each.

(2) The issued capital of the Fund shall be eight billion rupees and the paid-up capital shall be three billion rupees, and the shares of such amount shall be allocated and distributed as follows:-

(a) Government of Nepal - 23.34 percent

(b) National Insurance Corporation - 31.55 percent

(c) Nepal Stock Exchange Limited - 10 percent

(d) Other banks or financial institutions - 15.11 percent

(e) General Public - 20 percent.

(3) If shareholders mentioned in clauses (b), (c) and (d) of sub-section (2) need to sell the shares they have

taken, they must obtain permission from the Government of Nepal through the Fund.

(4) The Fund must obtain approval from the Government of Nepal before selling or distributing shares to any foreign bank, financial institution or foreign citizen.

(5) Each share shall be indivisible. A shareholder shall be entitled to cast one vote per share taken in the General Meeting, and the liability of a shareholder shall be limited to the value of the shares taken by him/her.

5. Share Capital may be Increased or Decreased: The Board may, with prior approval of the Government of Nepal, amended by the First Amendment, increase or decrease the share capital of the Fund and its allocation and structure as necessary. 6. Prospectus to be Published: Before issuing its shares or debentures for sale, the Fund shall publish a prospectus in the prescribed manner, stating the matters as prescribed. 7. Application for Shares: A person or incorporated body wishing to purchase shares of the Fund shall submit an application in the prescribed format as prescribed. 8.

Share Certificate: (1) Each shareholder shall be given a certificate in the prescribed format for the shares taken. (2) The details to be stated in the certificate and other matters relating to the certificate shall be as prescribed. 9. Issuance of Debentures: (1) If it is necessary to issue debentures, the Board may, subject to sub-sections (2) and (3), issue debentures after publishing a prospectus under Section 6. (2) If debentures are to be issued by securing them against the movable and immovable assets of the Fund, prior approval of the amended by the Second Amendment, body of the Nepal Securities Board shall be obtained. (3) If debentures are issued without securing them against the assets of the Fund, information thereof shall be given to the Government of Nepal within seven days from the date of such issuance. (4) Notwithstanding anything written in the prevailing law, the Fund may, by pledging the same collateral as far as it is sufficient for the prior creditors, take loans from other creditors as well, clearly indicating the additional creditors and amounts. (5) The Fund shall maintain a separate register containing the names of each creditor taking debentures issued by it, the amount of debentures, and other necessary details. 10. Transfer and Registration of Shares: (1) Subject to this Act, shares of the Fund may be transferred or mortgaged as movable property. (2) If a shareholder dies, or upon the transfer by the shareholder's estate to a creditor, or if the shareholder assigns his/her shares to another person under sub-section (1), or if any other person acquires a right to the shares by any other reason, upon application by the person acquiring such right to the Fund with proof thereof, such share shall be registered in the name of such person as prescribed. (3) Other provisions relating to transfer and registration shall be as prescribed. 11. Register of Shareholders: (1) The Fund shall register each shareholder in a register of the prescribed format, stating details as prescribed. (2) If shares are transferred, mortgaged, or require registration under Section 10, the register mentioned in sub-section (1) shall be updated accordingly, stating the particulars thereof. 12. Power to Take Loans and Grants: The Fund may take loans and grants to increase its capital. Provided that if the Fund needs to take a loan from a foreign bank or organization, the approval of the Government of Nepal shall be obtained. 13.

Payment of Share Amount: (1) The amount called up on shares shall be paid by the shareholder as prescribed. (2) If a shareholder fails to pay the amount called up under sub-section (1), the Fund may withhold the shares registered in the name of such shareholder and the profit distributable thereon and appropriate from the profit or forfeit such shares as prescribed. (3) If shares are forfeited under sub-section (2), the Fund may sell such shares, give them away in any other manner, or cancel them as prescribed. 14. Entitlement to Shares and Debentures: The Fund shall treat the person in whose name a share or debenture is registered in the Fund's register as the person entitled thereto. Chapter - 3 Investment Account and Citizen Unit Scheme 15. Operation of Investment Account Scheme: The Fund may establish and operate an Investment Account Scheme in the name of investors for investing in various sectors on terms as prescribed.

16. Operation of Citizen Unit Scheme: The Fund may, as a Trustee, operate Citizen Unit Schemes of various natures and types as prescribed, with the objective of providing efficient investment management services to savers and distributing higher returns. 17. Special Power of the Government of Nepal: (1) The Government of Nepal may, by publishing a notice in the Nepal Gazette, order government offices and incorporated bodies specified in such notice to compulsorily deduct from the monthly salary of employees and workers working in such office or body, an amount equal to the percentage prescribed in such notice for the period prescribed in such notice, and deposit it in the Investment Account Scheme. (2) It shall be the duty of the concerned office or incorporated body and the employees and workers working in such office or incorporated body to comply with the order under sub-section (1). 18.

Arrangement for Depositing Amount in Investment Account Scheme or Citizen Unit Scheme: amended by the First Amendment. (1) Nepali citizens residing in Nepal or abroad or any other foreign investor may deposit amounts in the Investment Account Scheme or Citizen Unit Scheme as determined by the Fund. (2) While depositing amounts in the Investment Account Scheme and Citizen Unit Scheme under sub-section (1), Nepali citizens residing abroad or any other foreign investor may also deposit in convertible foreign currency. (3) Before operating a scheme with terms requiring the deposit of amounts in foreign currency in the Investment Account Scheme or Citizen Unit Scheme and repayment also in foreign currency, the Fund shall obtain prior approval from the Government of Nepal and Nepal Rastra Bank. 18A. Self-Employed Person May Deposit Amount: inserted by the Second Amendment. (1) A self-employed person may deposit amounts in the Fund under the Investment Account Scheme pursuant to Section 18 as prescribed. (2) The provisions relating to the collection of amounts deposited in the Fund under sub-section (1), the process of payment of amounts deposited in the Fund, and the facilities received from the Fund shall be as prescribed. Explanation: For the purpose of this Section, "self-employed person" means a person engaged in a profession or occupation including engineers, doctors, legal practitioners, auditors, or an employee associated with such person on a temporary or service contract basis, and also includes a person engaged in privately operated businesses including agriculture, industry, and service sectors, a person earning income from employment, or a person involved in foreign employment. 19.

Distribution of Returns: amended by the Second Amendment. (1) The rate of return to be given each fiscal year on the amounts deposited in programs operated under the Investment Account Scheme or Citizen Unit Scheme pursuant to Sections 15, 16, 17, and 18A shall be according to the criteria determined by the Fund from time to time. (2) The payment of the amount deposited in the Investment Account Scheme under Section 17 and the amount of return to be provided on such amount under sub-section (1) shall be as prescribed. (3) If the Fund is unable to make payment of the amount under sub-section (2), the Government of Nepal shall make such payment. (4) From the income earned from the investment of the amount deposited in the Investment Account Scheme or Citizen Unit Scheme under Section 18 inserted by the Second Amendment. or Section 18A, after deducting expenses and service fees as prescribed, amounts to be kept in the Risk Investment Reserve Fund and Dividend Equalization Fund as prescribed, inserted by the First Amendment. and capital depreciation incurred on investment instruments, the remaining amount shall be distributed proportionally as returns to the respective investors. 20. Unit Certificate: (1) The Fund shall give a Unit Certificate to each Unit Holder in the prescribed format. (2) A Unit Certificate may be exchanged, transferred, or name-transferred subject to the prevailing law. (3) The procedure for name transfer, registration, or exchange of Unit Certificates shall be as prescribed. Chapter-4 General Meeting and Board of Directors 21. General Meeting: (1) An initial General Meeting shall be held within one year of the establishment of the Fund.

Thereafter, an Annual General Meeting shall be held within six months of the end of each fiscal year. amended by the Second Amendment. (2) At least twenty-one days before a General Meeting under sub-section (1), the Fund shall give notice to all shareholders specifying the place, date, and time of the meeting along with the agenda, and such notice shall also be published at least twice in national daily newspapers. (3) If at least ten percent of the total shareholders, representing at least sixty percent of the total number of shares of the Fund, are present in person or by proxy, the quorum for the General Meeting shall be deemed to have been met. (4) If a meeting cannot be held due to the lack of attendance of shareholders as specified in sub-section (3), upon giving at least seven days' notice and calling another meeting, there shall be no bar to holding the meeting if at least five shareholders entitled to vote, representing at least thirty-three percent of the total number of shares, are present in person. inserted by the Second Amendment. (4A) While giving notice for calling another meeting under sub-section (4), such notice may be given through any national daily newspaper, and the notice so given shall be deemed to be a proper notice. (5) The right to participate and vote in the meeting and other provisions relating to the conduct of the meeting shall be as prescribed. 22. Right to Vote for Appointment of Directors: (1) When voting for the appointment of Directors, each shareholder shall be entitled to a number of votes equal to the number of shares taken by him/her multiplied by the number of Directors to be appointed, and the shareholder voting in that manner may cast all his/her votes for a single candidate or in the manner he/she specifies for one or more candidates. (2) Notwithstanding anything written in sub-section (1), if the Government of Nepal and incorporated bodies nominate Directors under Section 25, they shall not be entitled to vote in the voting held under this Section. 23.

Subjects to be Presented and Discussed in General Meeting: (1) In the Annual General Meeting, the Board shall present the audited balance sheet and the profit and loss account of the previous fiscal year. (2) If a shareholder or shareholders representing at least five percent of the total number of votes wish to present any subject for discussion and decision in the General Meeting, they may do so by submitting an application to the Chairperson before the notice for holding such General Meeting is issued. (3) In addition to the subjects presented under sub-sections (1) and (2), consideration shall be given in the General Meeting to the accounts of the Fund, the report of the Board, the audit report, the profit to be distributed among shareholders, amended by the First Amendment. the appointment and remuneration of Directors and Auditors, etc. (4) Notwithstanding anything written in sub-sections (1), (2), and (3), in the initial General Meeting called under sub-section (1) of Section 21, the Board shall present a report containing details of the transactions made by the Fund before such meeting. (5) Other provisions relating to motions, discussions, and decisions to be presented in the General Meeting shall be as prescribed. 24. Extraordinary General Meeting: (1) The Board may call an Extraordinary General Meeting if it deems necessary. (2) If, during the audit of the Fund, it is deemed necessary for any reason to call an Extraordinary General Meeting, the Auditor may request the Board to call such meeting, and the Board shall call the General Meeting accordingly. (3) If at least twenty-five percent of the total number of shareholders holding at least ten percent of the paid-up capital of the Fund request in writing to the Fund, stating the reason, to hold an Extraordinary General Meeting, the Board shall call an Extraordinary General Meeting of the Fund. (4) If it is deemed necessary to call an Extraordinary General Meeting upon inspection or for any other reason, the Government of Nepal may cause such meeting to be called by the Board. amended by the Second Amendment. (5) When calling an Extraordinary General Meeting under this Section, a notice shall be published at least twice in national daily newspapers at least fifteen days in advance, specifying the place, date, time, and agenda of the meeting. amended by the Second Amendment. 25.

Formation of Board of Directors: (1) The Fund shall have a Board of Directors comprising a Chairperson and

Directors as follows:- (a) A person appointed by the Government of Nepal from among persons having special knowledge and experience in banking, insurance or capital market - Chairperson (b) One gazetted first class officer of the Ministry of Finance, Government of Nepal - Director (c) The Administrator of the National Insurance Corporation - Director (d) The General Manager of Nepal Stock Exchange Limited - Director (e) One person elected or nominated as determined by other banks and financial institutions from among them - Director (f) One person elected from among the general shareholders - Director (g) One expert appointed by the Ministry of Finance, Government of Nepal, from among persons having special knowledge and experience in banking, insurance or capital market - Director (2) While forming the Board under sub-section (1), at least one woman must be represented. (3) The term of office of the Chairperson and the Directors under clauses (f) and (g) of sub-section (1) shall be three years. They may be re-appointed or re-elected. (4) Notwithstanding anything written in sub-section (3), Directors holding office at the time of commencement of this sub-section may continue in their office for the term existing at the time of their nomination or election. (5) Notwithstanding anything written elsewhere in this Section, Directors under clauses (a) and (g) of sub-section (1) may be removed from office at any time. Provided that before removing such Director, he/she shall be given a reasonable opportunity to present a defense. (6) If a position of Director becomes vacant before the completion of the term under sub-section (3), such position shall be filled for the remaining period through the same procedure by which it was previously filled. (7) Notwithstanding anything written elsewhere in this Section, if any change is made in the share capital of the Fund under Section 5, the Government of Nepal may, by publishing a notice in the Nepal Gazette, change the number of Directors from among shareholders as necessary, not exceeding seven. (8) An authorized officer of the Fund designated by the Board shall act as the Secretary of the Fund. 26.

Disqualification for Appointment or to Continue in Office as Director: (1) The following persons shall not be eligible for nomination or election to the position of Director:- (a) One who has not attained the age of twenty-one years, (b) One who is insane or mentally deranged, (c) One who has become insolvent due to inability to pay debts to creditors, (d) One who has been convicted by a court for theft or fraud of any kind, or for unauthorized destruction or misuse of property entrusted to him/her, (e) One who has a personal interest of any kind in any contract or agreement of the Fund, or (f) One who holds the position of Director in any bank or financial institution, inserted by the First Amendment. (g) A person or institution holding office as a member or representative of the securities market. (2) The following persons shall not continue in office as Director:- (a) If a situation arises making him/her ineligible for nomination or election to the position of Director under sub-section (1), (b) If he/she is absent from three consecutive meetings of the Board without giving notice to the Board for a valid reason, (c) If he/she does any act against the Board or the decision of the Board, (d) If his/her resignation from office is accepted, (e) If he/she is proven by a court to have acted dishonestly or mala fide in the business of the Fund, or (f) If he/she commits any offense punishable under this Act. (3) Notwithstanding anything written in sub-sections (1) and (2),- (a) The disqualification mentioned in clauses (a) and (b) of sub-section (1) shall not apply to a person unless certified by a government doctor. (b) A person mentioned in clause (e) of sub-section (1) may be nominated to and continue in the position of Director if approval is obtained from the Government of Nepal. (c) Before disqualifying any person from being nominated or elected to or continuing in the position of Director, he/she shall be given a reasonable opportunity to present evidence of his/her defense. 27. Remuneration and Allowances of Directors: (1) The meeting allowance payable to Directors for attending meetings shall be as prescribed. (2) omitted by the Second Amendment. 28. Powers of the Board of Directors: (1) Subject to this Act or the regulations made under this Act, it shall be the duty of the Board to manage the entire business of the Fund, exercise powers and perform duties, and conduct, direct, supervise, and control the general administration of the Fund. (2)

The Board may delegate all or some of the powers exercisable by it to any Director, Sub-Committee, Executive Director, or any authorized officer of the Fund. 29.

Meeting of the Board: (1) A meeting of the Board shall be held on the date, place, and time specified by the Chairperson. (2) The meeting of the Board shall be held at least eight times a year, and the interval between two meetings shall not exceed two months. (3) Notwithstanding anything written in sub-section (2), if at least one-third of the Directors make a written request with the list of subjects sought to be discussed, the Chairperson shall call a meeting of the Board within seven days. (4) No meeting of the Board shall be held without the presence of at least a majority of the Directors. (5) The Chairperson shall preside over the meeting of the Board, and in his/her absence, a Director chosen by the Directors from among themselves shall preside over the meeting of the Board. (6) A decision of the majority in the meeting of the Board shall be valid, and in case of a tie, the person presiding may cast a casting vote. (7) Details of the Directors present at the meeting of the Board, the subjects discussed, and the decisions made in that regard shall be recorded in a separate register. (8) Other matters relating to the meeting of the Board may be determined by the Board itself. 30. Accountability of Directors: (1) If the Board knowingly or negligently causes or causes to be caused loss or damage to the Fund, such loss or damage shall be recovered proportionally from the personal estates of each Director. Provided that a Director who has expressed his/her objection in writing to the act or thing from which such loss has occurred, or who was unaware of such act or thing, shall not be liable to bear such loss or damage. (2) Except with the approval of the Government of Nepal, no Director shall do or cause to be done any act through the Fund that results in personal benefit to himself/herself. (3) Any Director shall be personally responsible for acts done exceeding his/her jurisdiction. 31. Validity of Acts Done: If it is later discovered that any provision under this Act has not been complied with in relation to the election or nomination of a Director, the acts done by such Director prior to such discovery shall not be rendered invalid solely on that ground. Chapter - 5 Functions, Duties and Powers of the Fund amended by the Second Amendment. 32.

Functions, Duties and Powers of the Fund: (1) The Fund may, as a Trustee, provide efficient investment services to savers and deliver higher returns by operating the following programs:- (a) To operate programs as prescribed in the field of social security such as contribution-based retirement pension, health insurance, either by itself or in collaboration with any other institution, (b) To operate a contribution-based term life insurance fund for civil servants, military and police personnel, teachers, and employees of other incorporated bodies, (c) To operate gratuity funds and pension programs as prescribed. (2) The Fund may invest the amounts deposited in the Fund for operating voluntary or compulsory retirement funds and Investment Account Schemes, for a specified term, in the following areas:- (a) To invest in cash certificates or time-bound fixed deposits of any commercial bank established under the prevailing law, (b) To make loan investments in any incorporated body on terms specified by the Fund, with the guarantee of any commercial bank recognized as class "A" by the Government of Nepal or Nepal Rastra Bank, (c) To invest in shares of any commercial bank, financial institution, insurance company, or such institution or company deemed suitable by the Fund, (d) To invest in infrastructure construction projects undertaken under the public-private partnership model with the Government of Nepal or Provincial Government and the private sector, (e) To invest in bonds issued by the Government of Nepal, from amounts deposited in the Investment Account Scheme, Citizen Unit Scheme, or other programs operated by the Fund, or from the Fund's own resources, (f) To invest, with the approval of Nepal Rastra Bank, amounts collected from Nepali citizens residing abroad in the Unit Scheme in foreign securities in collaboration with any domestic or foreign company or incorporated body, (g) To invest in electricity generation or transmission or other infrastructure construction established or promoted by the Government of Nepal, Provincial Government, or an incorporated body or entity under the

full or partial ownership or control of the Government of Nepal or Provincial Government, (h) To invest in debentures issued by any company or incorporated body. (3) Notwithstanding anything written in sub-section (2), while investing, the Fund shall do as follows:- (a) When investing in shares of any institution under clause (g) of sub-section (2) or becoming a founder shareholder, invest up to a maximum of twenty-five percent of the issued capital of such incorporated body or company.

Provided that this limit shall not apply for establishing its own subsidiary company.

(b) When investing under clause (ch) of sub-section (2), the Fund shall invest up to a maximum of twenty-five percent of the amount in the shares of the concerned company,

(c) When investing in debentures issued by any company or incorporated body under clause (j) of sub-section (2), invest up to a maximum of twenty-five percent of the total debentures.

(4) The Fund may provide credit in the following areas:-

(a) To provide credit to incorporated bodies established under the prevailing law,

(b) To provide credit by operating various types of credit schemes to participating individuals who regularly deposit amounts in the Fund,

(c) To jointly provide credit, in collaboration with any commercial bank or financial institution deemed appropriate by the Fund, on the basis of co-financing, with a mortgage participation agreement as per the agreement between them.

(5) Subject to the prevailing law on securities, the Fund may perform the following functions:-

(a) To invest and reinvest in various types of securities and acquire ownership of securities,

(b) To purchase securities by investing in the primary or secondary market and act as a wholesaler,

(c) To provide loans and advances to participants in the retirement fund and Investment Account Scheme operated by the Fund for purchasing securities,

(d) To encourage incorporated bodies to issue securities and provide necessary services as an underwriter and sales manager.

(6) The Fund may establish subsidiary companies or institutions as necessary for capital market development as follows:-

(a) To establish a company by itself or in collaboration with other financial institutions or bodies for investment expansion,

(b) To establish and operate a mutual fund by itself or with the participation of other incorporated bodies,

(c) If the Fund acquires the assets of any company or institution, to utilize such assets, or operate any project by itself or in collaboration with any other institution, or operate the institution, or establish and operate a new company or institution.

(7) The Fund shall have the following powers regarding the management of immovable property held in the name of the Fund:-

(a) To purchase, acquire, take into ownership or on rent any immovable property in lump sum, installments, or in any other manner, and to sell, barter, or exchange immovable property owned by it,

(b) To construct commercial or residential buildings on land owned by the Fund or by purchasing land, by itself or in collaboration with other incorporated bodies,

(c) To lease out and sell houses, land, or buildings constructed under clause (b) owned by it.

(8) Subject to this Act, the Fund may also perform the following functions:-

(a) To underwrite shares of various incorporated bodies as determined by the Fund, by itself or in collaboration with other merchant banks,

(b) To provide bridge financing facilities or advances to incorporated bodies as specified by the Board,

(c) To provide expert advisory services on financial management of incorporated bodies and alternative opportunities for savings and investment,

(d) To participate in or assist the work relating to the formation, management, and control of incorporated bodies in which the Fund has invested,

(e) To provide capital market advisory services or conduct related training and perform other related functions,

(f) To charge management fees, service fees, commission, brokerage fees, and other fees for services provided by the Fund,

(g) To conduct banking transactions with foreign banks with the approval of Nepal Rastra Bank,

(h) To give approval to perform functions according to the terms of the security or commitment provided as a Trustee regarding the fulfillment of obligations under a contract or agreement of any incorporated body, or to complete the work accordingly,

(i) To take or hold any movable or immovable property as collateral, deposit, hypothecation, or security, and to accept any agreements, contracts, deeds, or documents as necessary,

(j) To monitor and inspect, or cause to be monitored and inspected, as prescribed from time to time, whether the investments made or credits provided under this Act have been utilized properly.

(9) If the principal, interest, and penal amounts of any advance or loan given by the Fund to a person cannot be recovered from the accumulated amount of the concerned person held in the Fund, the Fund may recover such amount to be realized from other movable and immovable property owned by such person under the prevailing law.

inserted by the First Amendment.

32A. Fund May Act as Debenture Trustee: (1) The Fund may act as a Trustee concerning debentures issued or to be issued by any incorporated body.

amended by the Second Amendment. (2) Other provisions relating to the functions, duties, powers, and obligations to be fulfilled by the Fund as a Debenture Trustee under sub-section (1) shall be as prescribed.

inserted by the First Amendment. 32B. Fund May Act as Custodian: (1) The Fund may perform the functions of taking custody, purchasing, selling, or arranging purchase and sale of securities, name transfer, registration, and collection of interest or profit of securities on behalf of domestic or foreign investors.

(2) While acting as a Custodian under sub-section (1), the Fund shall complete the procedure as prescribed.

33. Power to Impose Conditions: (1) When transacting with any incorporated body or granting credit to any incorporated body, the Fund may require deeds to be executed imposing conditions as necessary for the protection of its interest and the proper utilization of the credit or facility provided by it.

(2) Notwithstanding anything written in the prevailing law, while having deeds executed under sub-section (1), the Fund may set terms allowing it to fix any period of maturity, require the borrowing incorporated body to repay the principal and interest of the credit already taken in case of breach of conditions set by the Fund, or recover from the property and guarantee taken by deed.

(3) While granting credit to any incorporated body, the Fund may impose conditions to have a deed executed for the total credit amount to be given to such incorporated body at once, and to provide the credit in installments as prescribed, in the form of cash, cheque, letter of commitment or letter of credit, calculating interest from the date the incorporated body receives the installment.

(4) While imposing conditions under sub-section (1), the Fund may also impose the condition of appointing a Director to the Board of Directors of any incorporated body, and if such condition exists, notwithstanding anything written in this Act or the prevailing law, it shall be accordingly. 34.

Special Exemptions to the Fund: (1) When the Fund takes collateral by executing a deed from the borrowing incorporated body or surety, or registers such collateral property in the name of the Fund, or when the Fund buys or sells immovable property, income tax or registration fee shall not be levied on such transaction. (2) If the total amount receivable by the Fund from the incorporated body cannot be recovered from the assets taken as collateral by executing a deed, the remaining amount may be recovered from other assets of the borrowing incorporated body under the prevailing law. (3) The right of the Fund over the collateral shall not be extinguished solely on the ground that the Fund did not take possession of the collateral or initiate action to recover the credit within the period specified in the deed by which the Fund took collateral of any property. (4) If the Fund takes possession of the collateral, uses it, leases it out or contracts it out, or allows others to operate it with profit sharing, according to the conditions mentioned in the deed, such action alone shall not affect the right of the Fund to receive interest and additional charges for default of installments payable to it or the right to sell the collateral. inserted by the Second Amendment. (5) While registering deeds relating to credit transactions made by the Fund with a person who regularly deposits amounts in the Fund under this Act, registration fee shall not be levied. inserted by the Second Amendment. 34A. Rights of the Fund to Remain: Notwithstanding anything written in the prevailing law, the right of the Fund over any type of collateral taken while providing credit shall remain valid until the principal and interest of such credit are fully repaid. 35. Rights of the Fund in Case of Breach of Agreement: (1) If any incorporated body breaches the terms of the deed with the Fund by failing to repay any credit, interest, or outstanding advance amount payable to the Fund according to the agreement, or if the Board considers that there is a reasonable cause to control the financial operations of such incorporated body, the Fund may, even if the maturity period under the terms has not expired, control the management and financial operations of the borrowing incorporated body, or take possession of the collateral property or other assets of the borrowing incorporated body and utilize them, lease or contract them out, or sell them by auction, tender, or mutual negotiation, and recover the amount due to it. (2) If the collateral given by the borrowing incorporated 44.

Oath to be taken: Every director, executive director, advisor, member of the technical sub-committee, and officers and employees of the Fund shall take an oath as prescribed before assuming their office. 45.

Government of Nepal's power to suspend the Committee: (1) If the Committee is unable to perform the work required to be done under this Act, the Government of Nepal may, by publishing a notice in the Nepal

Gazette, suspend the Committee for a maximum period of one year.

(2) If the Committee is suspended pursuant to sub-section (1), the Government of Nepal may appoint any person, committee of persons, or institution to conduct all the work and transactions required to be done by the Committee under this Act.

(3) All work and transactions conducted by the person, committee of persons, or institution appointed to conduct the work and transactions of the Committee pursuant to sub-section (2), in accordance with this Act and the regulations made under this Act, shall be deemed valid as if conducted by the Committee formed under this Act. 46. Communication with the Government of Nepal: The Fund shall communicate with the Government of Nepal through the Ministry of Finance. 47. Annual report: The Committee shall submit the auditor's report and a report on matters related to the work and transactions of the Fund to the Government of Nepal within nine months after the end of the fiscal year. 48. Government of Nepal may give orders or directives: The Government of Nepal may, having regard to the state of the country's currency and capital market and the interests of investors, give necessary orders or directives, and it shall be the duty of the Fund to comply with such orders or directives. 49. Nepal Rastra Bank may give orders or directives: Nepal Rastra Bank may, having regard to the monetary situation of the country, give necessary orders or directives to the Fund from time to time with the objective of enhancing the effectiveness of the Fund. It shall be the duty of the Fund to comply with such orders or directives. Amended by the Second Amendment.50.

Monitoring and Inspection: (1) The Government of Nepal, Ministry of Finance, shall monitor, inspect, and supervise the work, operations, plans, and programs conducted by the Fund as prescribed. (2) For the purpose of sub-section (1), the Ministry of Finance may designate any gazetted first class officer of the Government of Nepal or an expert in the relevant field as an inspector. (3) The inspector designated pursuant to sub-section (2) may inspect all books of account, accounts, financial records, documents, or electronic records of the Fund, or demand details or copies thereof. (4) It shall be the duty of the Executive Director of the Fund and concerned employees to provide the documents or details demanded by the inspector pursuant to sub-section (3). (5) The inspector designated or appointed pursuant to sub-section (2) shall, after completing the work of monitoring, inspection, and supervision pursuant to sub-section (1), submit a report thereof to the Government of Nepal, Ministry of Finance. (6) Other arrangements relating to monitoring, inspection, and supervision conducted under this section shall be as prescribed. 51. 52. Special rights of the Fund: The Fund may prescribe the terms of the pension fund, investment management, and other services provided under the investment, Citizens Unit Scheme, and Investor Account Scheme provided by the Fund under this Act, and may fix the commission, service fees, and charges to be levied thereon. Amended by the Second Amendment. Added by the Second Amendment.52A. Special provision relating to investment in fixed deposit: (1) The Fund may invest amounts collected under the Investor Account Scheme, Citizens Unit Scheme, or from other sources in the Fund by depositing them as time-bound fixed deposits in any commercial bank. (2) Notwithstanding anything contained in the prevailing law, the amount deposited pursuant to sub-section (1), along with interest or any other charges thereon, if any, shall be paid by the bank to the Fund in accordance with the agreement made between the Fund and the concerned commercial bank. (3) If the bank concerned fails to pay to the Fund the amount invested pursuant to sub-section (1) in accordance with sub-section (2), the Fund may recover such amount in accordance with this Act and the prevailing law. 53. Security of loan investment of the Fund: Notwithstanding anything contained in the prevailing law, if any organized institution to which the Fund has provided credit investment is dissolved, the Fund shall have equal rights over the assets of such organized institution Amended by the Second Amendment.as other secured creditors of such organized institution. Added by the Second Amendment.53A.

Blacklisting: (1) If any person or organized institution that has entered into a contract with the Fund, is a partner in any kind of contract or lease, has received investment from the Fund, or has taken a loan from the Fund, causes any loss or damage to the Fund or fails to pay any amount due to the Fund within the prescribed period, the Fund may send a letter to the concerned body for blacklisting such person or organized institution in accordance with the prevailing law. (2) Upon receipt of a letter from the Fund pursuant to sub-section (1), the concerned body shall blacklist such person or organized institution in accordance with the prevailing law and inform the Fund thereof. (3) The Fund shall not provide any loan, contract or lease, make a partner, or make any kind of investment to the person or organized institution blacklisted pursuant to sub-section (2) for two years after removal from such blacklist. 54. **Confidentiality to be maintained:** (1) Notwithstanding anything contained in the prevailing law, details of the relationship between the Fund and its clients, and the transactions or accounts of the Fund shall not be disclosed to anyone other than the concerned parties. (2) Notwithstanding anything contained in sub-section (1), providing access for inspection to a court in connection with any case or other legal proceedings, to an auditor in connection with an audit, or to an inspector deputed in connection with an inspection shall not be deemed a breach of the confidentiality of the Fund's transactions or accounts. (3) While inspecting the transactions or accounts of the Fund, a court, auditor, or any other person shall not breach the confidentiality of the Fund's transactions or accounts. 55. **Fund may be dissolved:** The Fund may be dissolved in the following circumstances: (a) If the Government of Nepal is of the opinion that the Fund is unable to refund the amounts due to be refunded to unit holders under the Citizens Unit Scheme and to investors under the Investor Account Scheme, pay other debts payable, or perform its functions under this Act. (b) If the Government of Nepal decides to dissolve the Fund for any reasonable cause. 56. **Appointment of Liquidator:** (1) If the Fund is to be dissolved pursuant to Section 55, the Government of Nepal shall appoint a Liquidator from among persons licensed under the prevailing law Amended by the Second Amendment..

Added by the Second Amendment.(2) The work, duties, and rights of the Liquidator appointed pursuant to sub-section (1) shall be the same as those of a liquidator appointed under the Insolvency Act, 2063 (2006). (3) The Liquidator shall receive remuneration or allowances fixed by the Government of Nepal from the Fund. 57. **Order of priority for payment of liabilities:** Upon dissolution of the Fund, liabilities shall be paid based on the following priority order: (a) Expenses incurred in the dissolution, (b) Remuneration and other amounts due to the employees or workers of the Fund, (c) Amounts under the Investor Account Scheme, Citizens Unit Scheme, and Group Savings Project, Added by the Second Amendment.(d) Amounts on account of loans taken and other liabilities of the Fund, Added by the Second Amendment.(e) Taxes and other amounts payable by the Fund to the Government of Nepal, Added by the Second Amendment.(f) Amounts on account of shares of preference shareholders, Added by the Second Amendment.(g) If any amount remains after paying liabilities under this section, such remaining amount shall be paid proportionately to other shareholders. 58.

Punishment: (1) If any person knowingly makes or causes to be made a false statement in any detail, certificate, receipt for pledged security, or any other document provided to the Fund for the purpose of investment made, credit provided, or any other facility granted by the Fund under this Act, and if the Fund suffers any loss or damage thereby, such person shall be ordered to pay compensation equal to the amount of such loss and shall be liable to a fine of up to Amended by the Second Amendment.fifty thousand rupees or imprisonment for up to Amended by the Second Amendment.three years or both. (2) If any person breaches confidentiality contrary to Section 54, such person shall be liable to a fine of up to three thousand rupees or imprisonment for up to three months or both. (3) If any person obstructs or hinders an inspector appointed under Section 50 in his work, or without any reasonable cause prevents the inspection of accounts

or documents that the inspector wishes to examine, such person shall be liable to a fine of up to two thousand rupees or imprisonment for up to two months or both. (4) If any person uses the name of the Fund in any form or advertisement without the written consent of the Fund, such person shall be liable to a fine of up to one thousand rupees or imprisonment for up to one month or both. 59. Power to make regulations: The Fund may, subject to this Act and with the approval of the Government of Nepal, make necessary regulations to regulate its internal work and proceedings. Added by the Second Amendment.60. Power to make procedures: The Fund may, for the implementation of this Act, subject to this Act and the regulations made under this Act, make and implement necessary procedures.